



Korea Defense

Global Markets Research

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EQUITY: CAPITAL GOODS

Hanwha Aerospace/Systems field trip takeaways Quick Note

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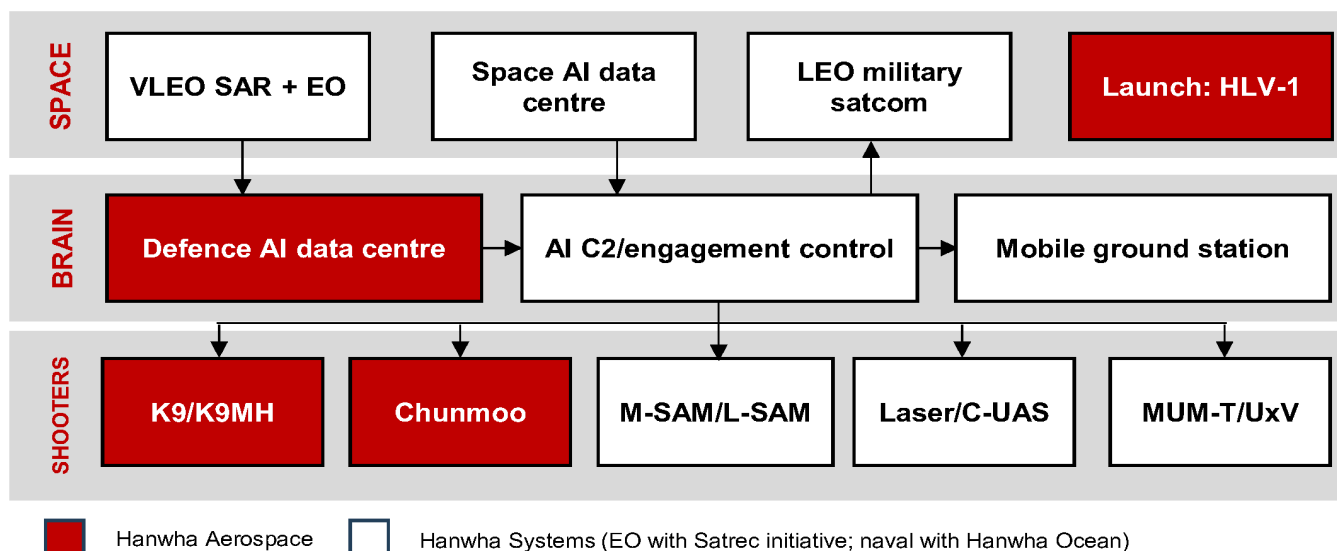
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We joined Hanwha group's analyst tour on 1-2 October (Hanwha Aerospace in Changwon; Hanwha Systems at the Jeju Space Center). We had an analyst meeting with Lee Bu-hwan, new CEO of Hanwha Aerospace, who took office in September. We also had a meeting with the new CEO of Hanwha Systems, Yang Ki-won, who was nominated in July. Factory visits followed after the meetings; we visited Changwon Land Systems factory and Jeju Space Center.

Both CEOs who were nominated recently, framed the next phase around linking satellites, a defence AI data center, AI-based C2 and the group's shooters (K9, Chunmoo, M-SAM/L-SAM, lasers, unmanned systems) into one package sold globally, with a stated ambition to reach the global top 3-5. The meeting topics focused on the vision and business strategy of Hanwha rather than assessing profitability, monetization, and capital allocation.

Fig. 1: Hanwha's 'space-to-shooter' architecture



Source: Company data, Nomura research

Hanwha Aerospace (012450 KS, Buy): 'Phase II' under a new CEO

The 1 October session in Changwon was the first investor meeting for CEO Lee Bu-hwan, who took office on 18 September. A 30-year Hanwha veteran with an R&D background, he most recently ran the PGM division and, as head of the European office from 2022, led the Eastern European order wave that followed the start of the war in Ukraine. He has emphasized a 'Phase II' of building a base for sustainable growth, resting on three pillars, namely aggressive global order intake, accelerated localization, and rapid launch of AI-enabled products.

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Management emphasized proactive localization to widen exports. **Europe** is pushing global defense companies to have higher localization content in Europe. SAFE-funded procurement requires 65% European content, and management said SAFE II may raise this to 70% or more. As European and other leading defence nations protect their own industrial bases, continued localization is "unavoidable", according to management. To qualify for Europe's need for localization, ground-breaking for the plant producing CGR-080 guided rockets for Homar-K (via the JV with WB Group) is scheduled for next month, according to management. The construction is scheduled for completion by 2Q28, and we forecast first local deliveries in 2030F.

Regarding the **US**, Hanwha has signed for a new site in Arkansas in which it will invest ~KRW3tn, as well as the USD2.2bn munitions campus, announced on 21 September. The US is now a significant potential opportunity for the company, in our view. HA recently received a SPH-M project. The company is preparing for a tracked SPH project. Management emphasized that it is preparing for a **Middle East** JV with major GCC countries to make a meaningful penetration, and believes it is likely to see results soon.

Fig. 2: US opportunity map

Program	Hanwha product	Status	Size	Timeline
Wheeled SPH (Mobile Tactical Cannon)	K9MH, 155mm/52caliber	- Prototype contract (up to USD233mn, 6 units+option for 12) - First unit shipped	500 units, KRW10tn (~KRW20tn; including MRO)	Production decision 2028-29E
Tracked SPH	Original K9	- Bidding	Several times larger than wheeled SPH	N/A
Munitions	155mm propellant charges, Related products	- Site leased at Pine Bluff Arsenal, Arkansas - Admin office opened Sep-26	~KRW3tn (USD2.2bn)	Multi-year build out

Source: Company data, Nomura research

The CEO argued that the market is no longer led by tanks and IFVs. Drones and counter-drone systems are reshaping demand, and shortages of US interceptors (Patriot, THAAD) are pushing customers toward low-cost interceptors. Hanwha is developing such products and plans genuine mass-production lines. Over 5-10 years, management expects wars to be fought with integrated packages: satellites detect a threat, an AI data center analyzes and supports decisions, and the system assigns the best shooter (K9, Chunmoo, MUM-T, drones).

Investment: Management described Hanwha as the largest investor in defence AI in Korea. Construction of a defence AI data center (AIDC) is under way in the Changwon National Industrial Complex (basement works complete, according to management). It is a trillion-won-scale investment, with phase 1 (45MW) to start operating in 2028E and a further 135MW of phased expansion to be confirmed. Hanwha has turned down overseas AI partnership offers and chose to build the core capability itself. The rationale is export control: building on a foreign stack would require that vendor's approval for every export.

Hanwha Systems (272210 KS, Reduce): from 'eyes and brain' to prime contractor

CEO Yang Ki-won defines Hanwha Systems as a company with the "eyes" (AESA radar, SAR/EO satellite sensors, electro-optics) and the "brain" (C2 and engagement control, mission computers, sensor fusion, AI decision-making) of the battlefield. Today the business mainly supplies subsystems to platform makers. The goal is to become a prime contractor and system integrator with its space capability. Management showed confidence in turning into a prime contractor, as defense AI is likely to develop to v.3.0 (*Fig. 3*).

Management emphasized that its 2027-29F earnings driver will be Anti-Ballistic/drone solution exports. It expects meaningful results from Middle East and European countries. Also, Hanwha is preparing for a laser-based counter-drone system, Chung Kwang, which has shown great performance during demonstration, according to management.

In the medium-to-long term, the space business remains management's key focus area. The Jeju center can produce around 100 small satellites a year and, according to the company, is the only facility of its scale in Korea. Management explained its plan to launch 64 satellites and 4 EO satellites. The observation satellites will work together with space/land-based AI DC and LEO satcoms to provide defense AI solutions.

Fig. 3: Defence AI roadmap: from smarter weapons to a force-wide AI layer

Stage	Implications	Examples/enablers
AI 1.0	Intelligence inside individual weapon systems	- AI-enabled K9/Chunmoo targeting - Autonomous drones and missiles - Changwon AIDC supporting training and inference
AI 2.0	Linking different platforms through AI-based C2	- Multi system operation under single engagement-control layer - (e.g. K9+Chunmoo+MUM-T)
AI 3.0	Force-wide fusion of sensors, intelligence and weapons in AI data centres	- Satellite ISR+defence AI data centre+C2+shooters - Battlefield-level decision support

Source: Company data, Nomura research

Fig. 4: Jeju center roadmap: Space business expansion timeline

Layer	Description	Key targets	Timeline
1. VLEO UHR SAR + EO	- 64 SAR+4 EO Satellites flown together all-weather, day-night	- 15cm-class recognition(vs current best commercial ~25cm) - 30-min global revisit	- First launch: 3Q27E - Deployment: 2029-31E
2. Space AI data centre	- On-orbit fusion of SAR/EO/IR - Downlink only inference	- Not cost-competitive with land DC yet; premium service first	- On-orbit demo: 2028E - Breakeven longer-dated
3. LEO military satcom	- Security-focused network - Hanwha terminals on all land weapon systems	- Captive demand, rather than price competition with Starlink	- Service from 2031E - Government target: 2035E
Enabler: launch	- HLV-1 in-house launcher co-designed with satellites - Next-gen KSLV (10t + to LEO)	- Falcon 9 slots largely sold out to 1H29	- Development/test launch by 2028E

Source: Company data, Nomura research

Appendix A-1

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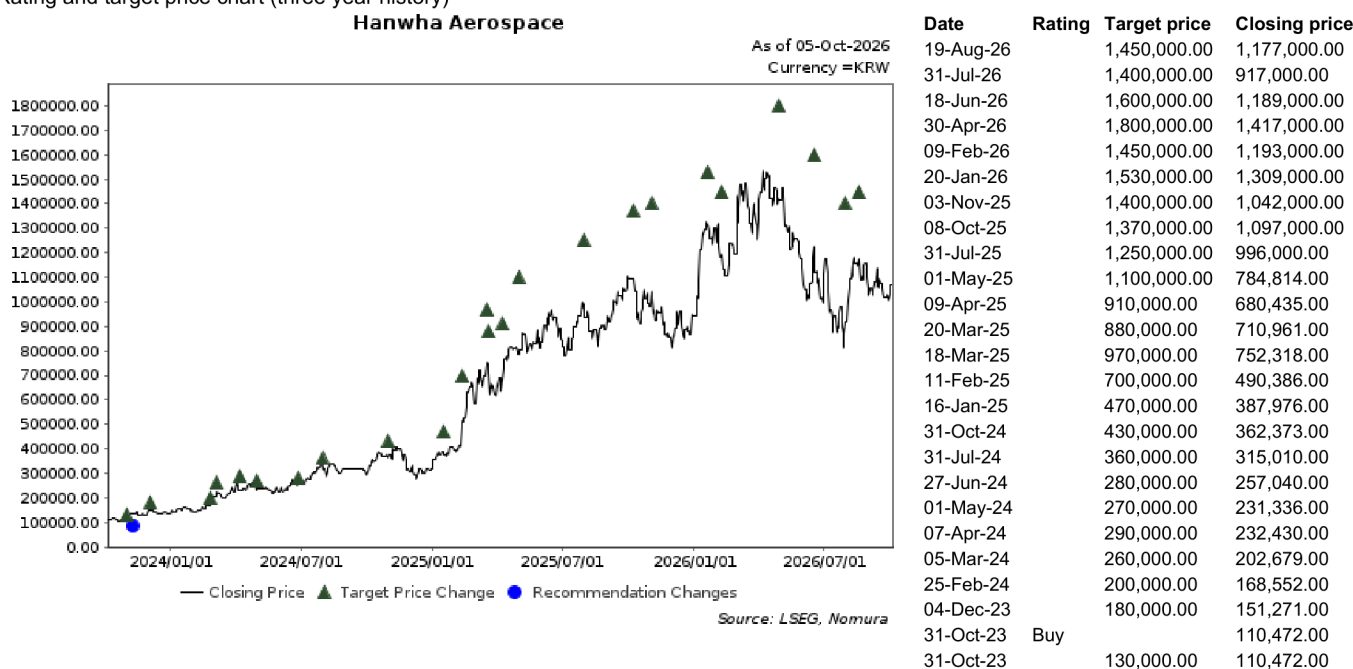
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Hanwha Aerospace	012450 KS	KRW 1,078,000	18-Sep-2026	Buy	N/A	
Hanwha Systems	272210 KS	KRW 80,000	18-Sep-2026	Reduce	N/A	

Hanwha Aerospace (012450 KS)

KRW 1,078,000 (18-Sep-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

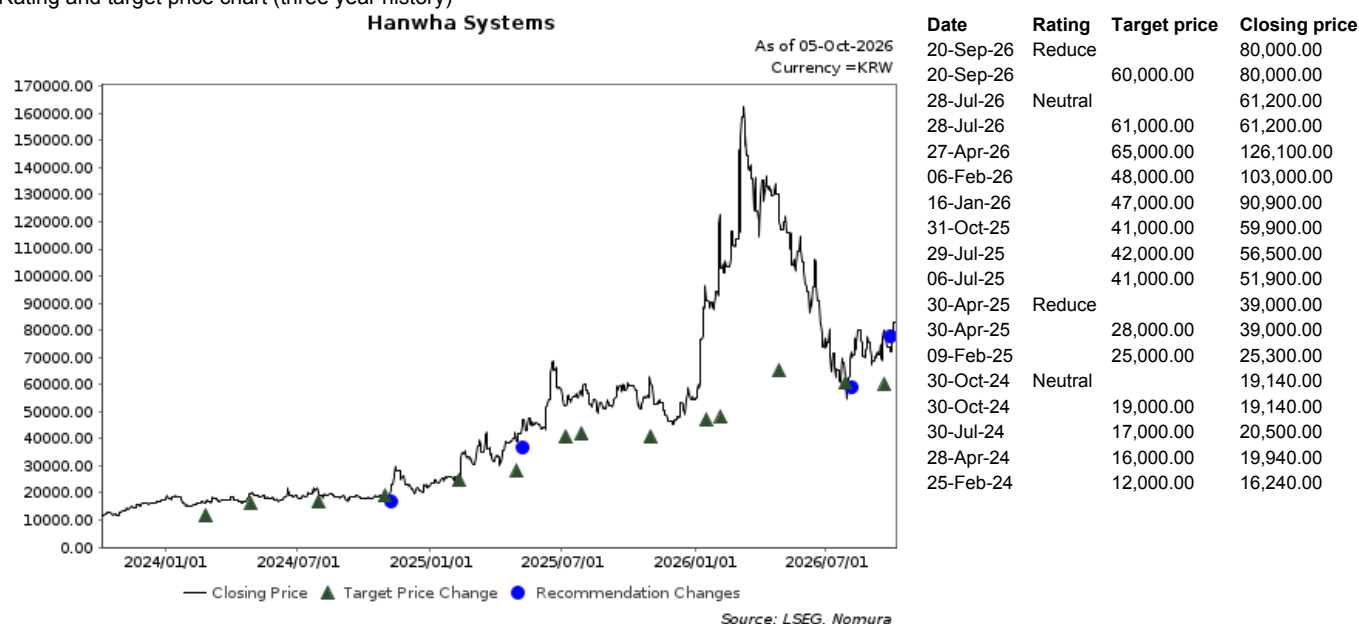
Valuation Methodology Our target price of KRW1,450,000 is based on SOTP valuation. We derive HA's operating value of KRW71.3tn by multiplying a P/E of 33.2x (2026E global peer average) with our 12MF adjusted NP of KRW2.1tn, which excludes the earnings of Hanwha Systems (HS; 272210 KS, Reduce) and Hanwha Ocean (HO; 042660 KS, Reduce). We assume a 70% (unchanged) discount for the ownership value of its subsidiaries.

Risks that may impede the achievement of the target price A downside risk is delays in new orders from the Middle East due to the conflict in the region.

Hanwha Systems (272210 KS)

KRW 80,000 (18-Sep-2026) Reduce (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of KRW60,000 is based on SOTP valuation methodology. We value its Defense division at KRW8.1tn (vs KRW8.4tn previously) and ICT division at KRW1.4tn (vs KRW1.3tn previously). Our target P/E of 32.8x for the Defense division is based on a 40% discount to the target P/E of LIG D&A (079550 KS, Buy)

Risks that may impede the achievement of the target price Upside risk can be regaining shares (Such as Austal USA) on MASGA project which could again lead to thematic valuation.

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